3

a) Political factors are such, that ~~affect~~ occur from political stability, governance and legitimacy of power. Social factors happen ~~like to~~ within society and can be caused by religion, traditions and various features of the society. Economic growth is an increase in real GDP of a country, acompanied with the reduction in unemployment. Whereas economic development indicates the increase in living standants economic well-being the literacy and ~~life~~ expectancy, can be measured in the world Happiness index.

When country experiences poop governance, goes through times of high instability it can ~~cause a lot of~~ prevent its economy from potential growth. For instance, when consumers are unsafe about future, together with investors they lose confidence in the economy and ~~start~~ saving money rather than spend. As a result consumption and investment remains low, and AD, aggregate demand, demand for all goods and services within the economy is low. AD consists of consumption, investment, government spending and net exports, and the when two main factors are low it stays very low.

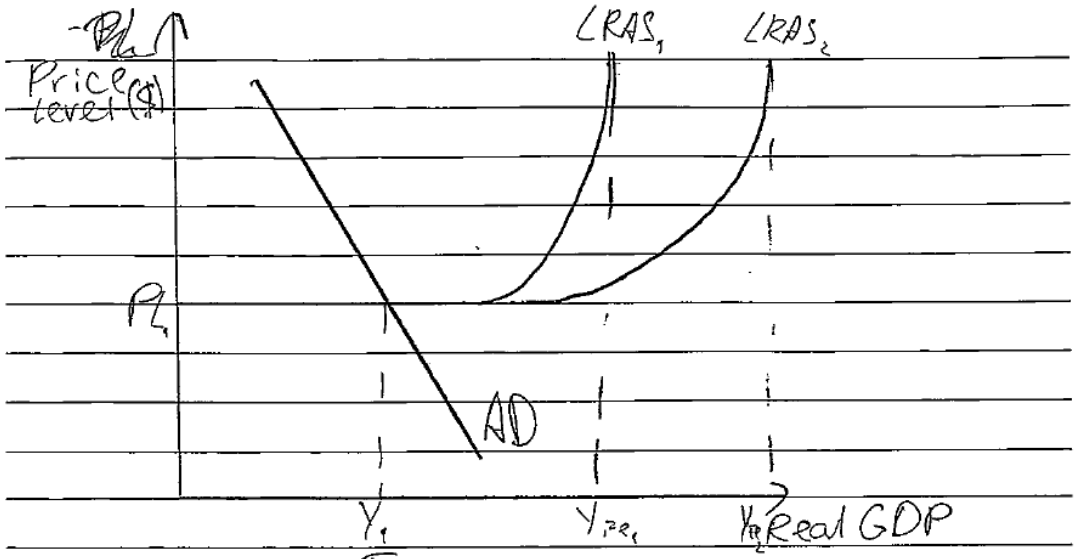


Figure 1

In Figure 1, we can see low AD intersecting Aggregate Supply (LRAS) lines at a point Y_1 and PL_1. Aggregate Supply is a total amount producers can supply in an economy over a period of time and it begins flat because according to the Keynesian theory producers cannot reduce wages lower than minimum wage and it gets completely inelastic since in the long run economy has a limited amount of factors of production. $Y_1 \rightarrow Y_{fe}$ represents an unemployment level and PL price level. It can be seen that due to low confidence AD is fixed at the recessionary gap.

On the other hand, when social factors such as religion or gender inequality happen within the economy it can only make the situation worse. Religion can cause the situation when women are not permitted to work, thus, economy only uses a fraction

of its potential, which is represented by shift in LRAS, to LRAS$_1$. Hence, even with a positive economic growth, country will sooner hit inflation and remain with low level of development.

When an economy is in the recession and experiences various political and societal issues, it accelerates the problems occuring in the minorities or low income families. It might result in more families falling in the ~~poor~~ poverty trap. Situation, when low income of the families causes low ~~in~~ savings, which in turn can cause low investment and result in decrease in economic growth; but also lower income ~~causes~~ reduces quality of life ~~and~~ healthcare, and general economic well-being. Poverty trap cycle is represented in figure 8.

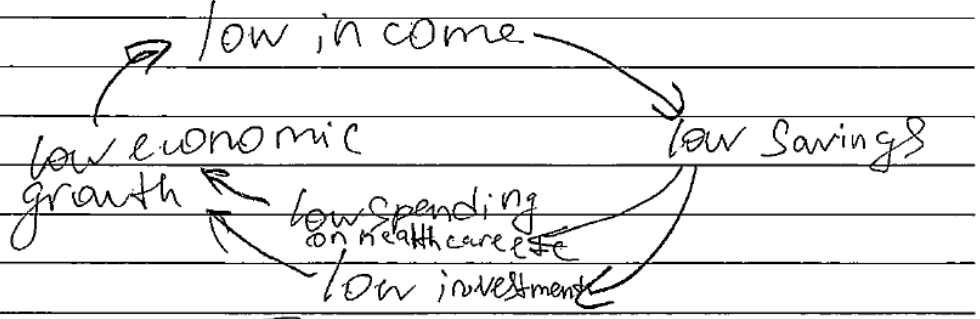


Figure 8.

Poverty trap, gender inequality, low standarts of living, low consumer and producer confidence ~~accelerate~~ without reforms and foreign intervention accelerates the existent problems and can cause even further damage

b) As previously discussed in (a) various economic barriers represent a real issue for undeveloped or developing economies. This problem is present in many countries nowadays, and Afghanistan is among them. Previous DRC is among them. In Democratic Republic of Congo, society expiriences many political conflicts and went through many instable periods. Nowadays, they experience other societal issues which are caused by the low level of infrastracture, end healthcare, food and water, and Sanitation. There are multiple internal issues which prevent creation of new businesses.

In the world business index DRC is marked among 20 lowest countries in which people are likely to start a new business, indicating high barriers to entry. The lack of businesses, enforces poor economic situation and the lack of business confidence pays off. High percentage of people below poverty level were additionaly hit by the crisis and decreased consumer confidence. Many Pandemic, conflict in Europe all of it and internal political instability due to opposition party coming to power, caused a cost-push inflation in already low AD, since prices for oil and wheat increased drastically. This situation is best represented in Figure 3, where AD is already low and $SRAS_1$ shifts to $SRAS_2$, using neoclassical model as it can show the real effect of cost push infl.

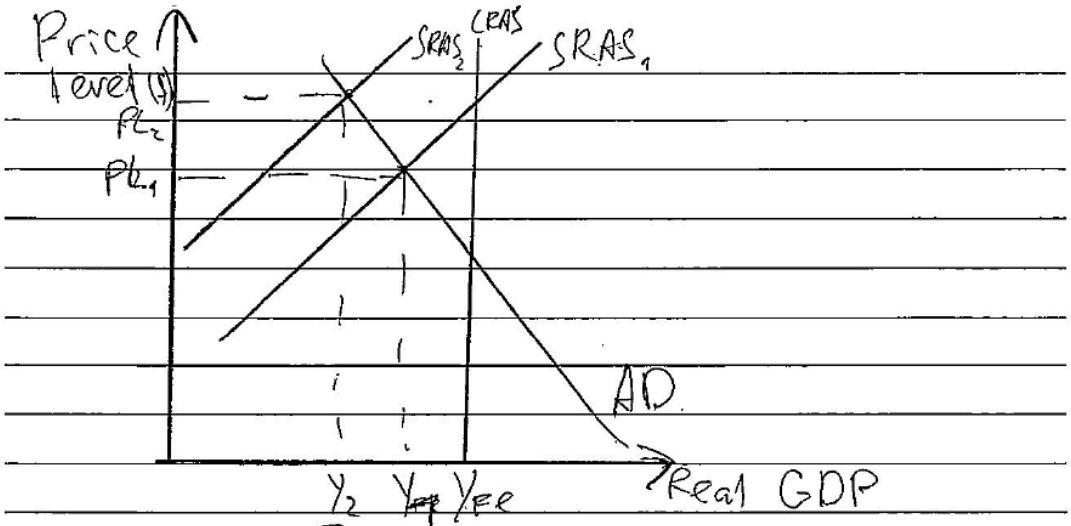


Figure 3.

Having said that, economy of DRC is also negatively affected by the low standards of living as about only 50% of people ~~had~~ access to sanitation in 2019, and children were ~~get~~ less potentially effective in adulthood due to poor education and healthcare. ~~What~~ This also causes the situation in Figure 1 to happen, and reduce potential of the economy. Increase in already high unemployment would cause further increase in poverty and ~~the~~ accelerate worsening of the standards of living as a result. Since, DRC is heavily reliant on the wheat supply

Ukraine and Russia, it was heavily hit by the ongoing situation, which according to the World health organization reports and UN will cause millions of deaths due to hanger in particularly reliant on imported wheat countries.

As of 2019, economy of DRC was heavily reliant on the exports of primary commodities, such that 80% of exports were due to mining copper and cobalt. At that time, world experienced oversupply of cobalt and sales fell, accelerating decrease in demand. Since, DRC ~~Exports~~ owns most of its exports due to primary commodities, it is another ~~barrier~~ barriet to its sustainable growth and development. As in periods of price fall which are inevitable due to technological development, DRC's economy will lose great portion of its revenues from exports, and consequently experience current account deficit, which throughout 2018 to 2019 was already increasing, causing oversupply of its internal currency, as shown in Figure 4.

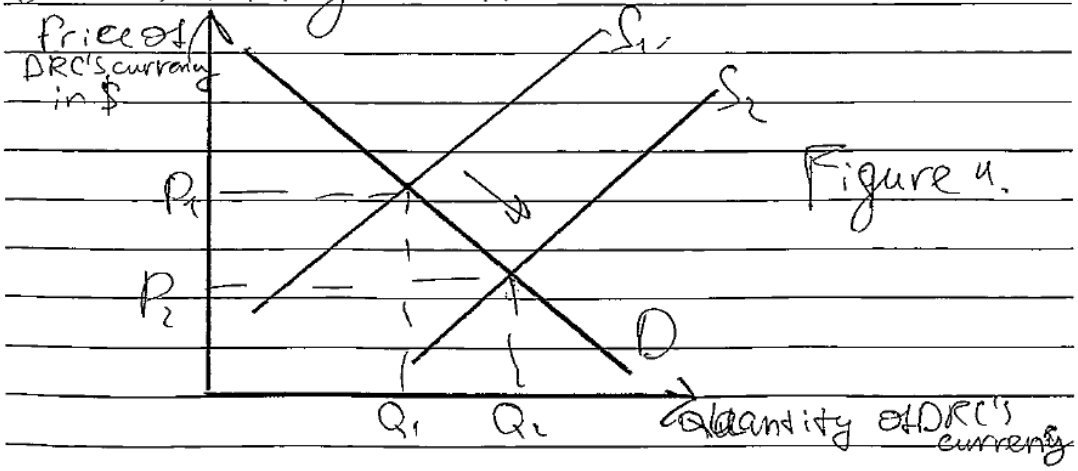


Figure 4.

Figure above shows how due to current account deficit currency depreciated and as a result imports became more expensive for the people. ~~and~~ Reduction in imports might not be significant as country heavily relies on it, hence people would lose access to some of the essential goods, such as medicine or food and reduce the quality of life further, showing another barrier to economic growth, and potential development.

In conclusion, DRC representing one of the poorest countries in the world, shows a significant amount of economic barriers. It's growth is most reliant on international aid and other foreign direct investments. As a result of various international events, poor internal situation has worsened and cannot achieve growth required to increase economic development of a country, without international help.